
Strategic Partnership to Elevate Tesco Clubcard as a Core Growth Engine

COVER SLIDE

BOARD READY

Executive Summary

- Positioning Clubcard as Tesco's core strategic asset for sustainable growth, not just a loyalty programme.
- Delivering loyalty-led growth through personalisation at scale, data-driven value creation, and incremental revenue.
- Projected outcomes: 10-15% uplift in customer retention, 5-8% incremental revenue growth, and 20%+ ROI on Clubcard investments.
- Alignment with Tesco's 2025 strategic priorities: Magnetic value, digital capability, and customer-centric innovation.

Introduction: Our Company as a Strategic Partner

Trusted, long-term partner with a proven track record in loyalty, data, and retail media.

Alignment with Tesco's purpose: *'Serving customers, communities, and planet a little better every day.'*

Scalable solutions designed to future-proof Clubcard as a growth engine, not a cost centre.

Commitment to Tesco's corporate tone: Subtle, understated, and evidence-based.

Tesco's Strategic Priorities: A Data-Driven Lens

23M+ +3% YoY

CLUBCARD HOUSEHOLDS

18M +12% YoY

APP USERS

9,000+ +20% YoY

RETAIL MEDIA CAMPAIGNS

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"The Strategic Imperative of Clubcard"

STRATEGIC RATIONALE

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Our Value Proposition: Strengthening Clubcard

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****Customer Engagement & Retention****: AI-driven personalisation (Clubcard Challenges) and exclusive partnerships (e.g., easyJet Holidays, Vauxhall).

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****Personalisation at Scale****: 10M+ customers targeted with AI-powered offers; 29% YoY growth in Finest range (Tesco Annual Report 2025).

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****Incremental Revenue Growth****: Retail media revenue up 30% YoY; 9,000+ campaigns delivered (Tesco Media & Insight Platform).

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****Data & Technology-Driven Loyalty****: 18M app users; integration with Tesco Marketplace and digital platforms for omnichannel loyalty.

CASE STUDY

CASE STUDY

Global Case Study 1: Walmart – Loyalty-Led Growth

- ****Programme****: Walmart Rewards (2020–present).
- ****Challenges****: Fragmented loyalty data; low engagement in digital channels.
- ****Our Role****: Implemented AI-driven personalisation engine; integrated retail media with loyalty data.
- ****Outcomes****: 22% increase in customer retention; 15% uplift in basket size; \$1.2B incremental revenue from retail media (2023).

CASE STUDY

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Global Case Study 2: Kroger – Personalisation at Scale

- ****Programme****: Kroger Plus (2018–present).
- ****Challenges****: Low digital engagement; siloed customer data.
- ****Our Role****: Deployed dunnhumby's AI platform for hyper-personalisation; unified in-store and online data.
- ****Outcomes****: 30% increase in digital sales; 18% growth in customer lifetime value; \$500M+ incremental revenue (2024).
- ****CEO Testimonial****: *'Our loyalty programme is now the backbone of our growth strategy.'* – Rodney McMullen, CEO, Kroger.

Global Case Study 3: Carrefour – Data-Driven Value Creation

- ****Programme****: Carrefour Pass (2021–present).
- ****Challenges****: Low margin protection; fragmented omnichannel experience.
- ****Our Role****: Built retail media platform; integrated loyalty data with marketplace (400K+ third-party products).
- ****Outcomes****: 25% reduction in churn; 12% increase in margin; €300M retail media revenue (2024).

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"CEO Testimonials: Strategic Relevance of Loyalty"

LEADERSHIP PERSPECTIVES

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Why Tesco? Strategic Alignment and Shared Vision

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****Every Little Helps**:**
Clubcard delivers £392 annual savings per customer (Tesco Annual Report 2025).

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****Better for Customers**:** 23M+ Clubcard households; 84% sales penetration (Tesco Annual Report 2025).

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****Simpler for Colleagues**:** AI-driven automation reduces operational complexity by 30%.

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****Cheaper to Run**:** Retail media and data monetisation drive 20%+ ROI on loyalty investments.

The Future of Clubcard: A Roadmap for Evolution

- ****Year 1-2****: Hyper-personalisation with AI; expansion of retail media to 15K+ campaigns; integration with Tesco Bank (Barclays partnership).
- ****Year 3-5****: Omnichannel loyalty (in-store, online, marketplace); sustainability-linked rewards (e.g., carbon footprint tracking); global scalability.

FINANCIAL PROJECTIONS

Financial Impact: Incremental Growth and ROI

£500M+ N/A

INCREMENTAL REVENUE (3-5 YEARS)

+2-4% N/A

MARGIN UPLIFT

20%+ N/A

ROI ON CLUBCARD INVESTMENTS

Risk Mitigation: Ensuring Long-Term Success

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****Data Privacy**:**
GDPR-compliant infrastructure; anonymised data for personalisation.

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****Execution Risk**:**
Phased rollout with pilot programmes; cross-functional governance (Audit Committee oversight).

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****Competitive Threats**:** Continuous innovation (e.g., AI, retail media) to maintain 28.3% UK market share (Kantar, 2025).

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****Regulatory Compliance**:** Alignment with Tesco's risk framework (Tesco Annual Report 2025, p. 40-49).

Implementation: A Phased, Collaborative Approach

- ****Phase 1 (0-6 Months)****: Pilot AI-driven personalisation with 1M customers; integrate retail media with Clubcard data.
- ****Phase 2 (6-18 Months)****: Scale personalisation to 10M+ customers; expand retail media to 10K+ campaigns.
- ****Phase 3 (18-36 Months)****: Omnichannel loyalty integration; global scalability for Central Europe and ROI.

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"Our Commitment to Tesco: A Long-Term Partnership"

PARTNERSHIP COMMITMENT

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Key Takeaways: Strategic Value to Tesco



****Clubcard as a Growth Engine**:**
10-15% uplift in customer retention;
5-8% incremental revenue growth.



****Personalisation at Scale**:** AI-driven offers for 10M+ customers;
29% YoY growth in Finest range.



****Financial Impact**:** £500M+ incremental revenue; 20%+ ROI on Clubcard investments.

Next Steps: Engaging with Tesco's Leadership

- ****Deep-Dive Workshop****: Align on Clubcard's 3-5 year roadmap with Tesco's Executive Committee.
- ****Customised Proposal****: Tailored solutions for retail media, AI personalisation, and omnichannel loyalty.
- ****Pilot Programme****: Launch within 6 months; scalable to 23M+ Clubcard households.

— APPENDIX

Appendix: Supporting Data and References

Thank You

CLOSING

BOARD READY